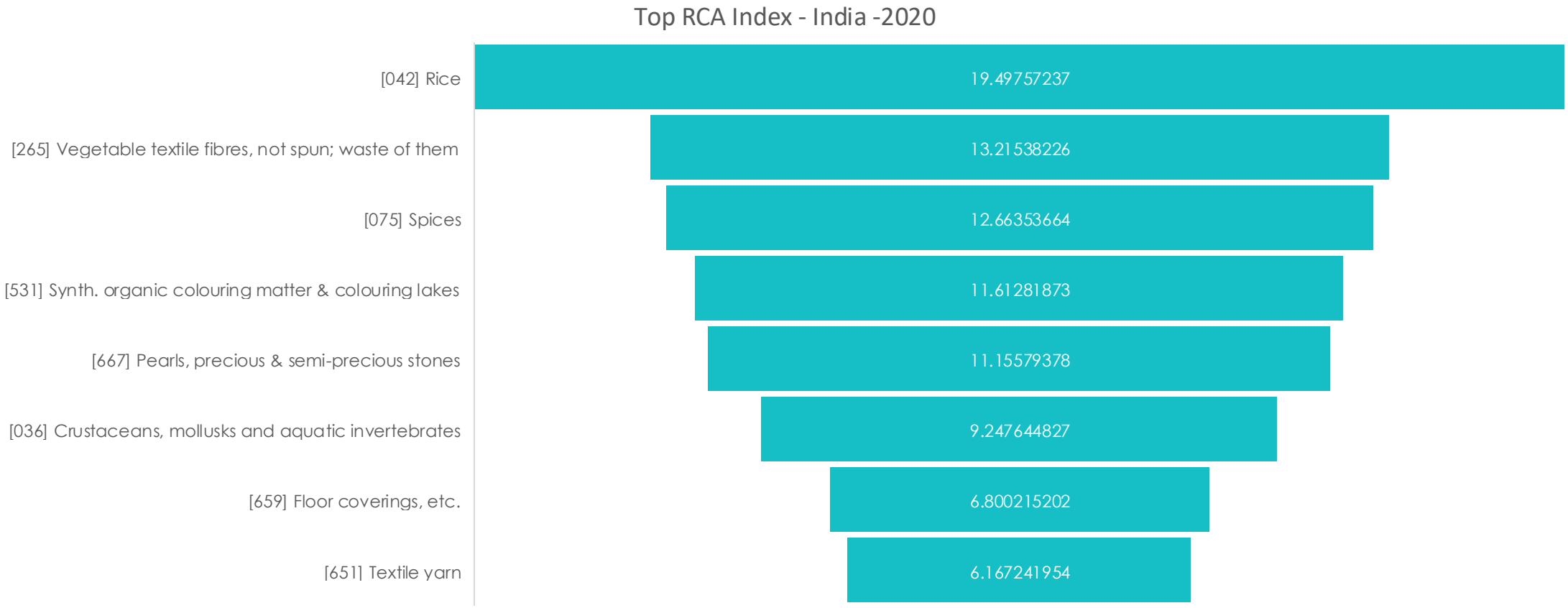
Revealed Comparative Advantage

INT ECO – T5

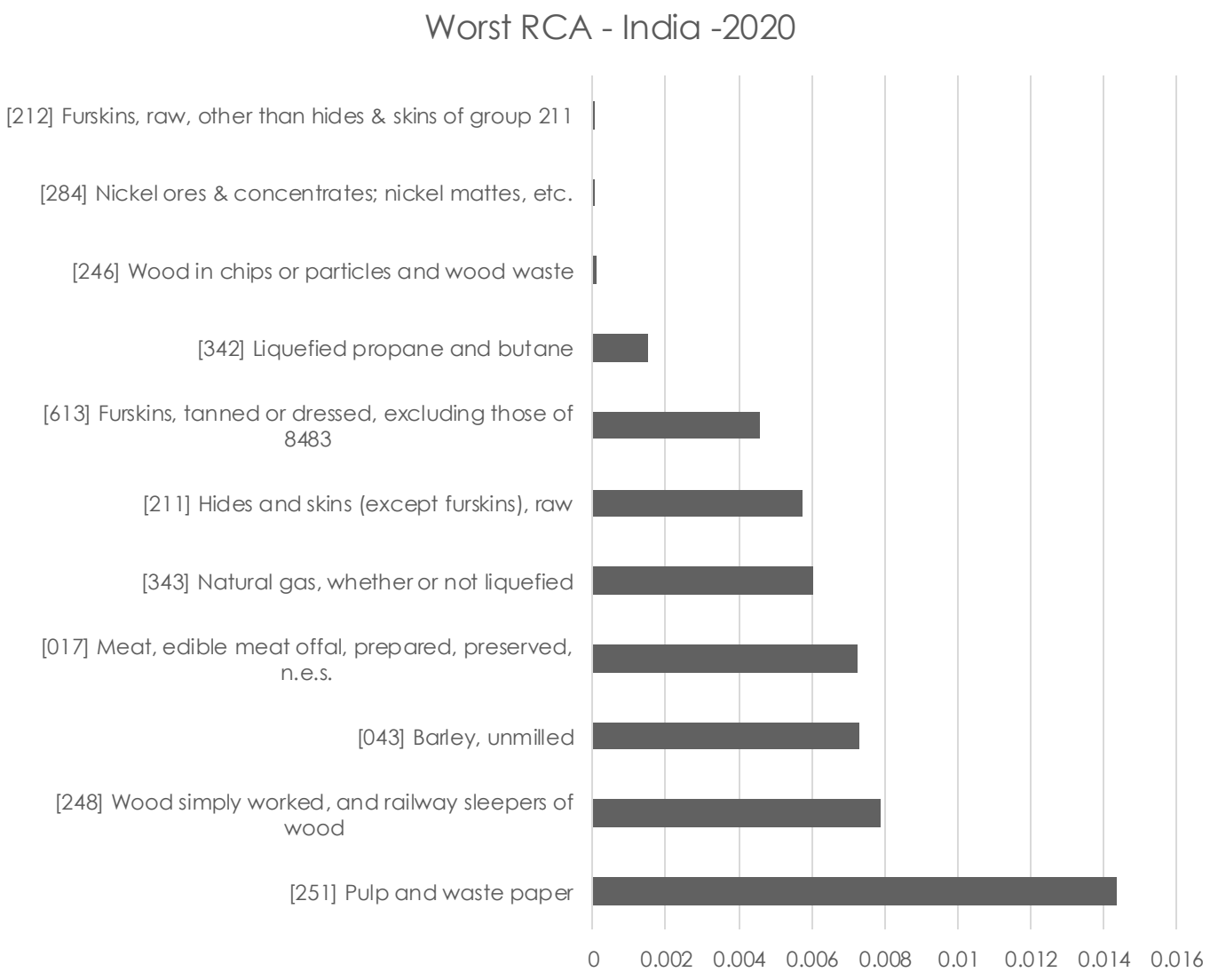
Revealed Comparative Advantage

- Formulated by Balassa (1965)
- **RCA: A country's Share of world exports in One commodity divided by its share of total world exports**
- $RCA = \frac{x_{ij}/x_{wj}}{x_i/x_w}$
- Here index, i=country, w=world, j=commodity
- Balassa (RCA) Index
- RCA > 1 is an advantage.
- 0 <RCA<Infinity

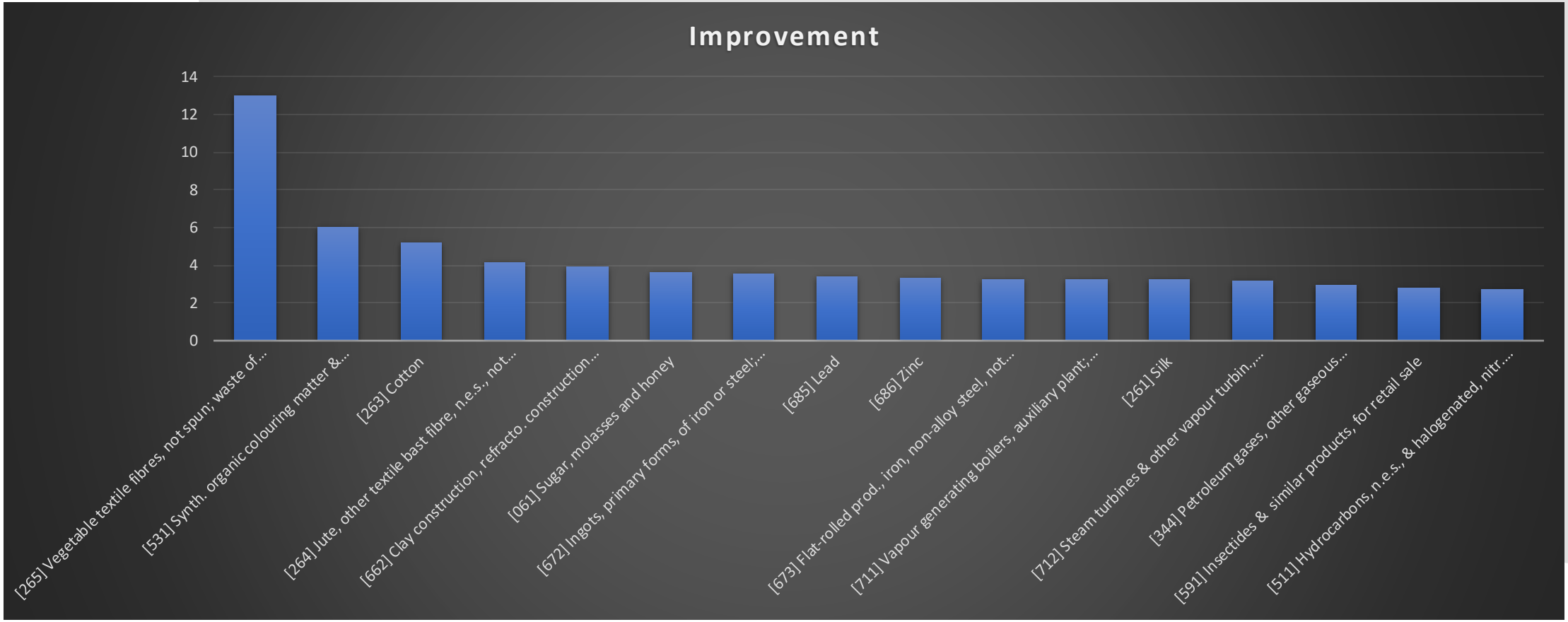
India's RCA


Top RCA Index - India -2020
[042] Rice
19.49757237
[265] Vegetable textile fibres, not spun; waste of them
13.21538226
[075] Spices
12.66353664
[531] Synth. organic colouring matter & colouring lakes
11.61281873
[667] Pearls, precious & semi-precious stones
11.15579378
[036] Crustaceans, mollusks and aquatic invertebrates
9.247644827
[659] Floor coverings, etc.
6.800215202
[651] Textile yarn
6.167241954

India Worst RCA

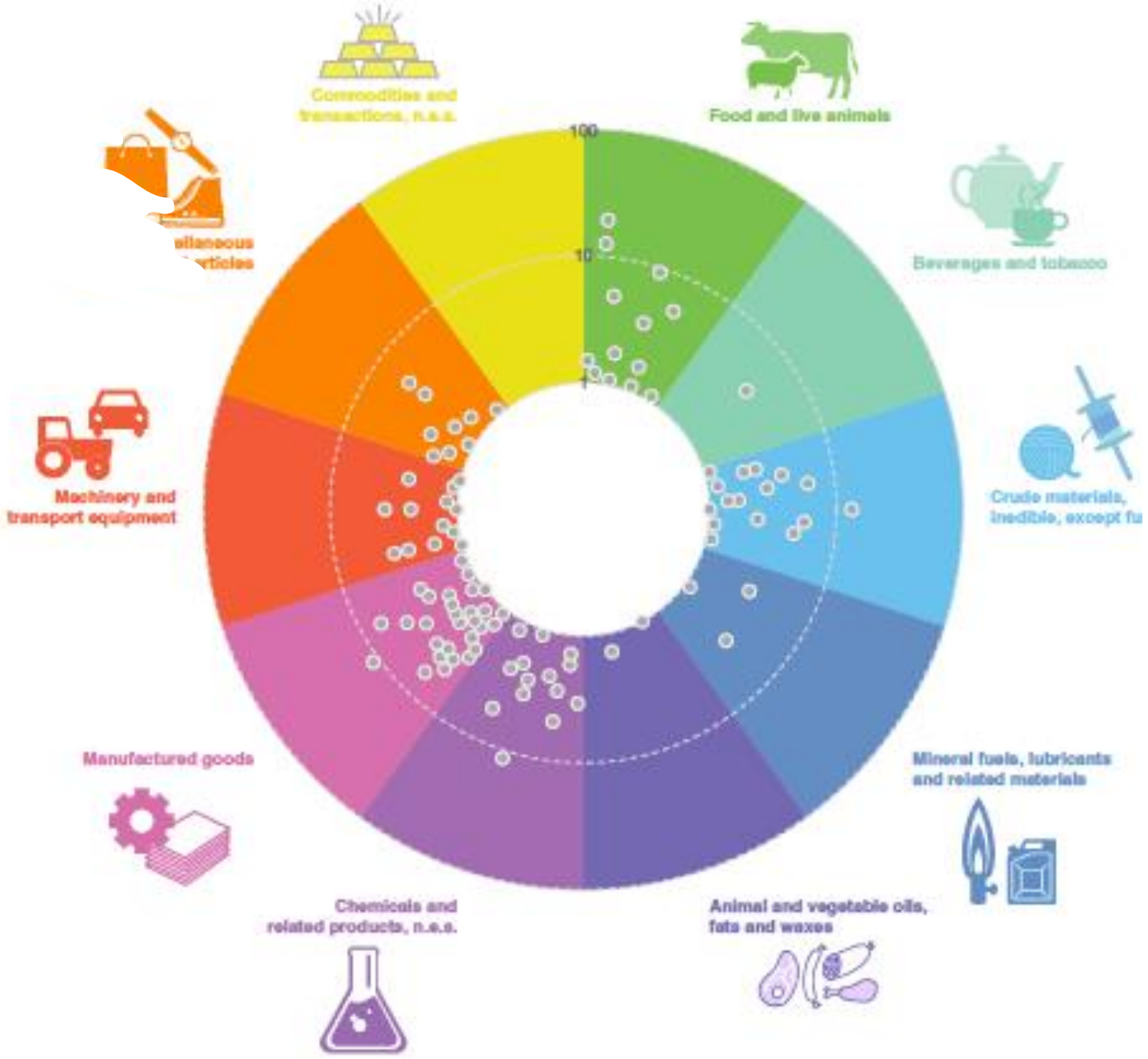


Most gain in RCA

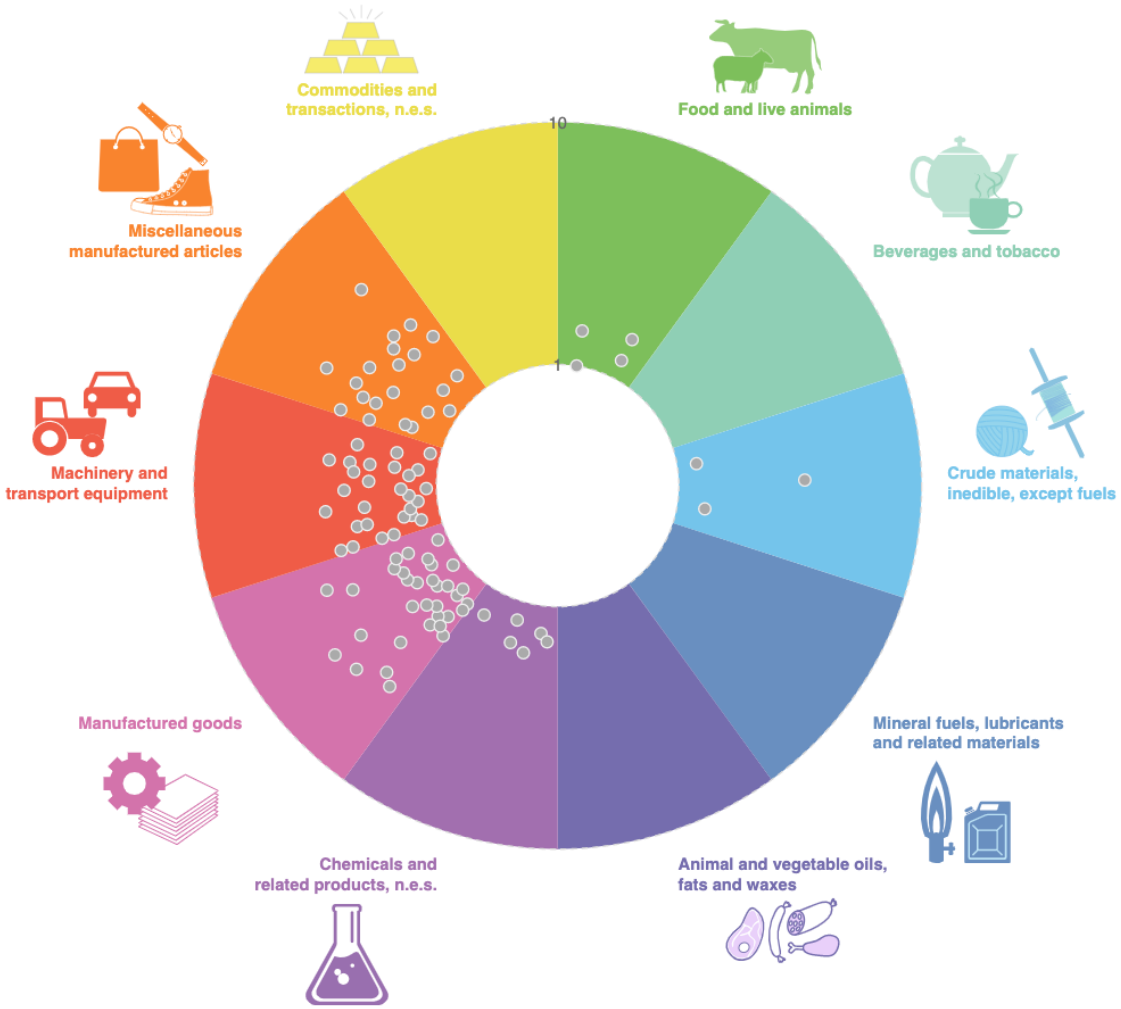


RCA Data - India

- https://unctadstat.unctad.org/EN/RcaRadar.html



RCA - China



China

2020

Product (SITC Rev.3)

1-digit group
N/A

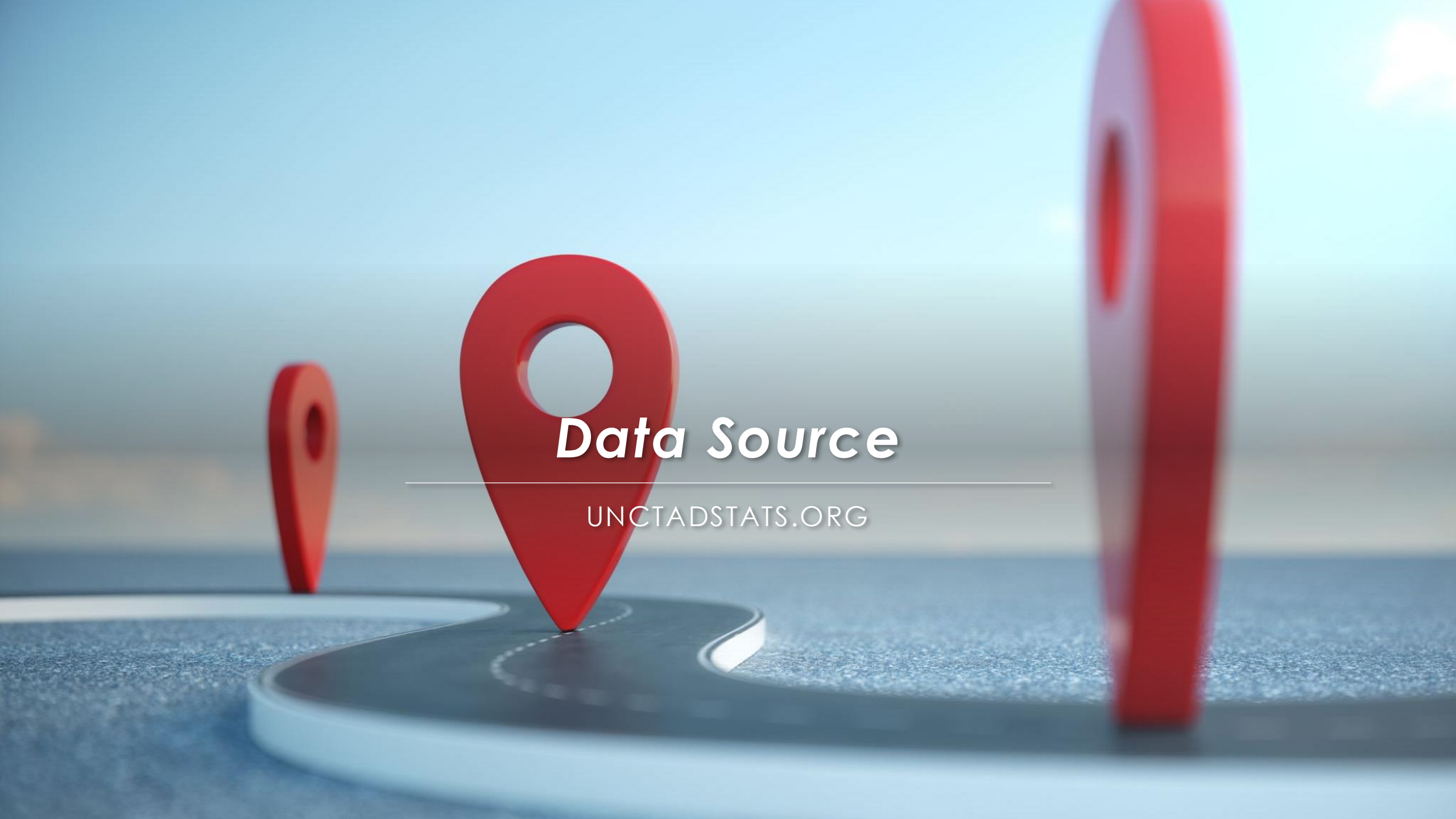
3-digit group
N/A

Exports value
N/A

Source
UNCTADstat

Revealed Comparative Advantage (RCA)
N/A

Source
UNCTADstat



Data Source

UNCTADSTATS.ORG